from near the wave (III) stock market peak of 1929, the Foundation's commodities index began a decline of 54.5% that lasted four years from February 1929 to February 1933. Quite a few commodities fell 90% from high to low, as shown in Figure 18-6. With precedents this strong, might it not be reasonable to anticipate that starting in the temporal vicinity of the wave (V) stock market peak, commodities will fall substantially again? As for the downside potential, these prior deflations accompanied bear markets of Supercycle degree. The coming bear market will be of Grand Supercycle degree, so we should respect the potential for an even *greater* fall over a longer period of time.

The difference in outlooks for the actual Dow and the inflation-adjusted Dow (see Chapter 5) carries a message for the downside potential for commodities. As you can see by Figures 2-1 and 3-3, the wave structures in these two measures have been substantially different since the peak of wave (III). The relentless inflation of the past sixty years has created the difference in the patterns. As implied in Chapter 5, the *minimum* percentage decline required to bring the actual Dow from its lowest upside target to the top of the previous fourth wave at 381 is 91.5%, while the *maximum* decline allowed in the inflation-adjusted Dow from its current level of 34.65 to the bottom of the previous fourth wave at 3.85 is 89%, close to the same figure. However, their respective *best* targets indicate a lesser drop in the inflation-adjusted Dow. If the inflation-adjusted Dow falls to its best target, which is the 1948 low at 6.03, it will decline 82% from here. If the actual Dow falls to its best target range between 100 and 300, it will decline 93-98%. What event would allow the nominal DJIA to collapse much further than inflation-adjusted prices? The answer is *falling commodity prices*. The two measures can both reach their downside targets, then, only if raw material prices fall, but not quite to the extent that stock prices do. To effect the ideal difference, commodities will have to fall between 44% and 89% from today's prices. Because the declines associated with Supercycle degree bear markets were 47.5% and 54.5%, respectively, and because the approaching bear market will be one degree larger, we can assume that the coming fall in commodities will be greater than 54.5%. Our target range of decline for a representative commodity index, then, is 55% to 89%.